MARKET ANALYSIS OF SA BANKS

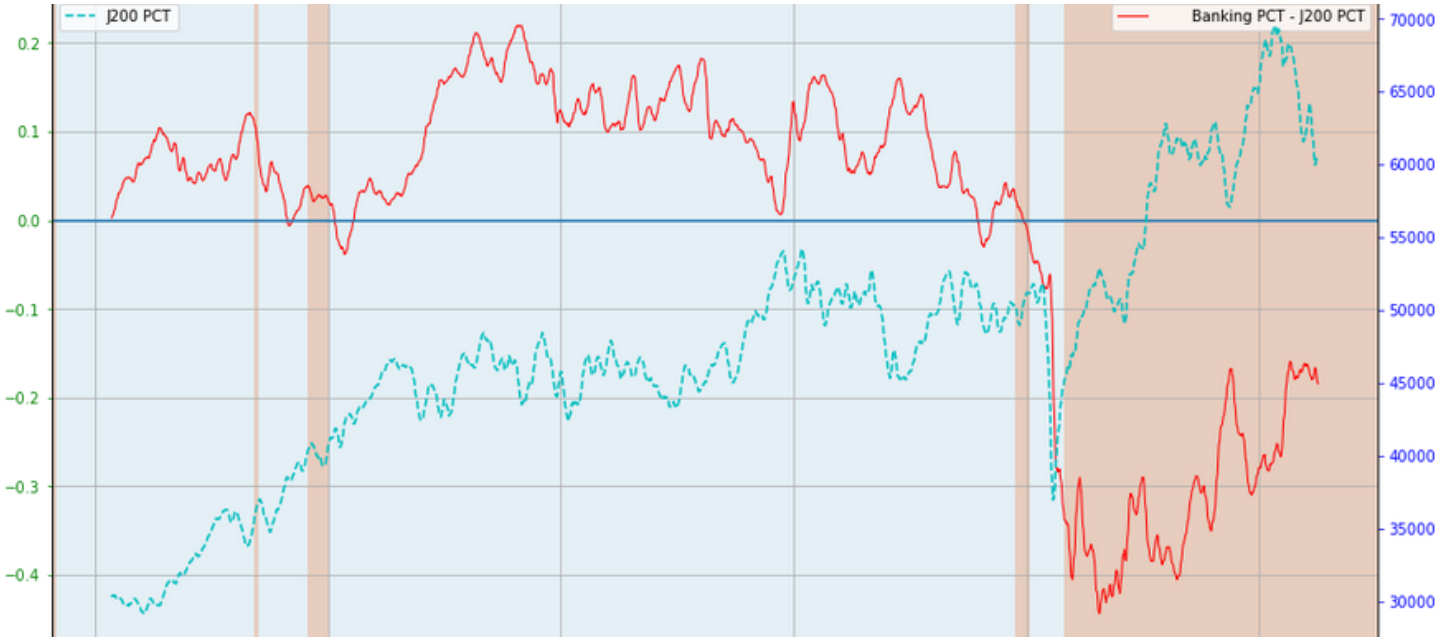


Figure 1: The chart depicts the performance of South African Commercial banks relative to the JSE Top 40, by measuring both index's percentage change

Market Analysis of SA Banking Industry

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Conducting a Market analysis of the SA banking industry from an investor perspective, is appropriate in that it facilitates in gauging the banking industry's performance over historical periods. Using the FTSE/JSE (^J580.JO) Financial Index as a proxy for the banking sector, a historical comparative analysis showed that, on its own, the Banking Sector experienced a few periods of significant volatility during the period of analysis. Significant instability occurred during the end of 2015, the beginning of 2018 and the start of 2020. Between these periods, however, there were durations of relative stability.

The JSE Top 40 (^J200.JO) is an index including the top 40 JSE publicly listed companies with the largest market capitalization. Pre-2020, the percentage change occurring in the banking sector was significantly higher than the JSE Top 40, only breaching negative territory in early 2014.

During 2020, ALL sectors were economically rocked, largely due to the effects and response to the COVID-19 Pandemic. The Top40 Index increased sharply during 2020, while the Financial Index simultaneously declined sharply. The Top 40 has continued its rise till the present, while the banking sector is still struggling to catch up.

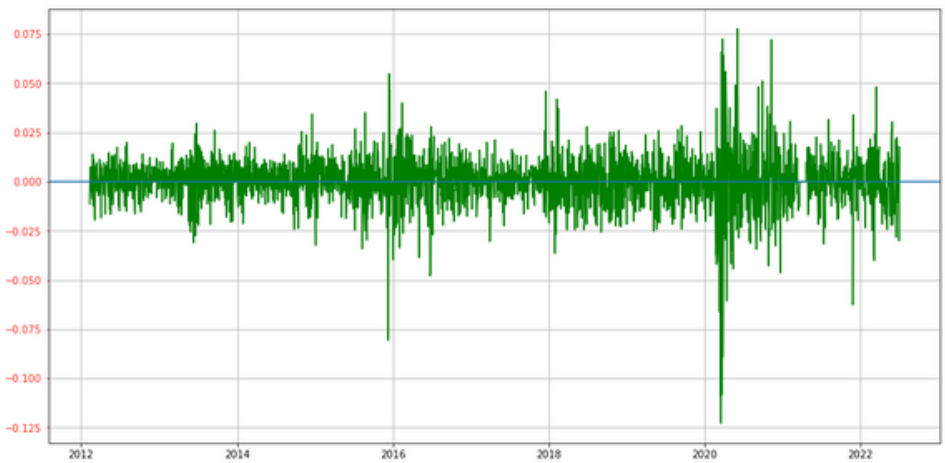


Figure 2 : Depicting Historical Stability of the Banking industry

During the high phases of the economic cycle, i.e Increasing economic growth and slowing inflation changes, financials tend to perform well, while during economic downturns and troughs, the financial sector proves to be one of the poor performing sectors from an equity standpoint. If anything, the graph above, presently indicates that investing in Top 40 stocks would leave the investor somewhat better off than if one were to invest in the Banking Industry.

Banking entities, such as Absa Group and Capitec are very promising when considering Financial Health, growth as well as factors such as fair value. During present economic conditions, it would be wise, if one chooses to invest in the banking commercial sector, to invest in stable growth companies with a relatively higher dividend yield. Nedbank does prove superior in terms of earnings growth and dividend yield, however, the level of systematic risk is much higher compared to its peers. Capitec and First Rand, according to YahooFinance, have the lowest betas compared to the other commercial banks. Capitec has the highest Forward EPS, and this is usually matched with an increasing stock price.

Macroeconomic Analysis

In present economic conditions, which have shown to be very volatile, coupled with inflation and growth rigidity, an investor needs to consider all factors, when making and executing investment decisions.

During these tumultuous economic times, an equity investor is relatively safer investing in stable companies that compensate their shareholders with satisfactory capital appreciation as well as dividend income.

The entities that have a lower level of systematic risk will fluctuate less with the current market.

A brief glimpse of the graph below, would support the notion that controlling inflation is proving to be a problem, in that interest rates are reaching highs that we haven't seen in decades.

Hiking the Fed Funds rate started with the Federal Reserve, with all Central Banks, thereafter, following suit. This collective increase in interest rates would have already created recessionary pressures that cannot end well. It remains to be seen.

However, history does testify that the market is extremely resilient, however, one should consider that math and facts do not lie.

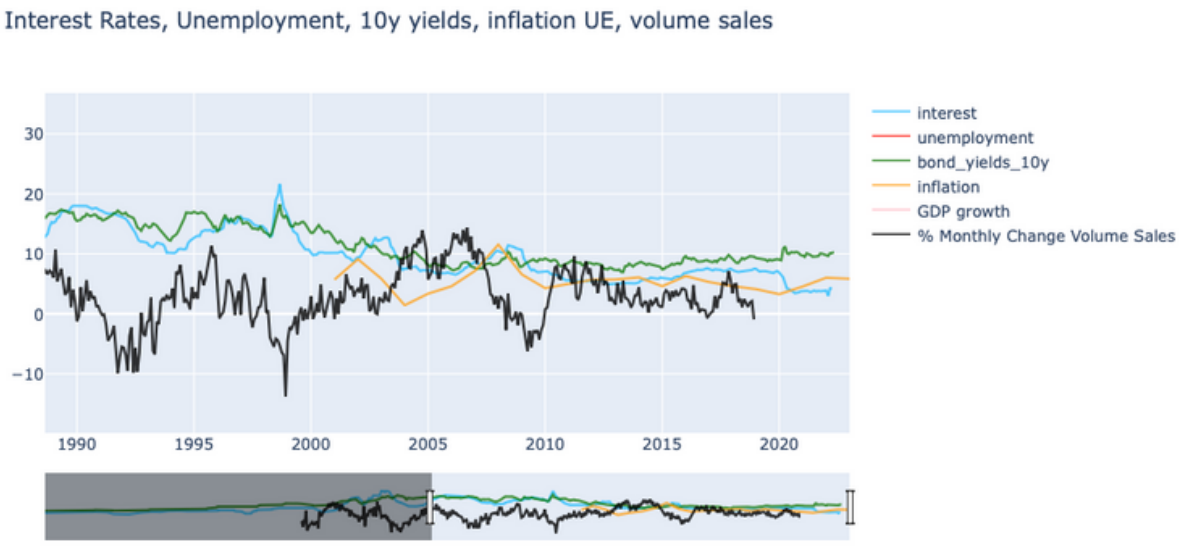
Of late, the inversion of the US Treasury yield curve has inverted multiple times, which has always been an indication of slowing growth and imminent recession.

Further, fundamental structures of any economy, such as GDP growth and employment all seem to be flatlining in the case of South Africa.

The after effects of the Pandemic response has caused the rate of economic growth and globalization to come to a proverbial grinding halt.

The assessing of macroeconomic indicators should direct the investment decisions that an investor calculatedly takes. Remember to thoroughly research the stock you intend to buy, diversify and employ appropriate risk management strategies.

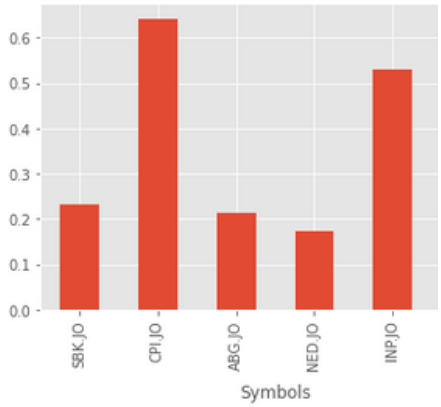
Figure 3: Macroeconomic Analysis



Risk Reward Profiles

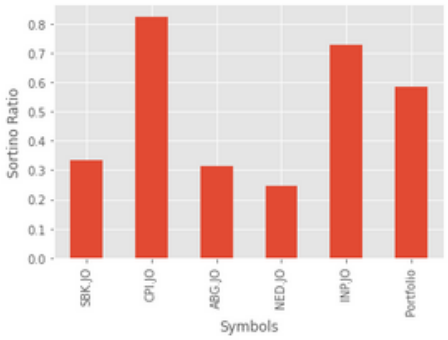
The Sharpe Ratio

The Sharpe Ratio measures the ratio of reward that is earned per unit of total risk. Therefore, the higher this ratio is, the more the total risk is being rewarded. Capitec and Investec are the two stocks, wherein risk is being satisfactorily rewarded.



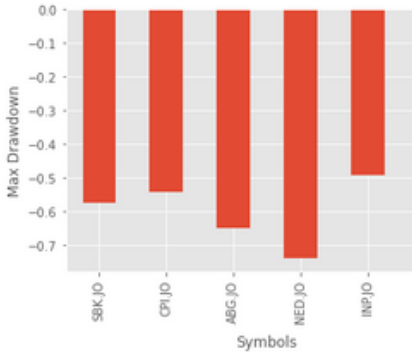
The Sortino Ratio

However, a better measure that one could use is the Sortino Ratio, which measures the level of reward per unit of downside risk. Similarly, the Sortino ratio is favourable the higher it is. Capitec and Investec come out on top this time as well.



Maximum Drawdown

The Max draw down is another measure that is helpful to to investors, in that it calculates the peak to trough decline of an asset/investment for a specific point in time. Essentially, this is a percentage of the peak value.
Contrary to the 2 aforementioned risk reward measures, the max drawdown is more favourable the lower it is, of which Nedbank and Absa have the lowest, as indicated by the graph below.



The most undervalued Bank stock?

Discounting the bank's cash flows to present value terms will indicate whether market price is either converging or diverging with fair value. This is accomplished by using required rates of return specific to each bank, a perpetual growth rate, as well as a cash flow growth rate. The Banks' FCFF was discounted, obtained from Morningstar.

The results are presented in the table below.

As the table below indicates, it was found that Absa Group and Capitec were undervalued. These are very stable companies, in terms of earnings and overall growth. Further, Capitec's rate of innovation has far surpassed its long-standing peers.

Bank	Required Rate	Under/Over Valued
ABG.JO	13.11%	Undervalued
CPI.JO	8.8%	Undervalued
NED.JO	14.65%	Overvalued
FSR.JO	9.78%	Overvalued
SBK.JO	11.18%	Overvalued

Table 1 : Commercial Bank Valuation

ABSA vs Capitec vs J200

For those active investors that would prefer to invest in individual equities, the graph indicates the performance of the two banking stocks against the performance of the J200 etf.

Capitec has shown more capital appreciation in the same time frame compared to the ABG and J200.

CPI is a true rival of the once highly concentrated retail banking sector in SA, and its growth journey is not scheduled to stop anytime soon.

For the present economic conditions that we find ourselves in, the safety that a company's economic moat serves, cannot be understated.

On an individual level, assessing both entities Total Debt, shows that Capitec has significantly lower total debt compare to Absa Group. The level of a company's debt will depend on its probability of default or bankruptcy. Further, a highly leveraged firm's stock price performance will also be highly correlated to the overall market performance, in that during times of economic volatility, these stocks prove very risky and unstable.



Figure 4: Comparative Stock Performance

Table 2 : Operating Metrics

Bank	ROIC	PE Ratio	Basic EPS
CPI.JO	23.24	27.05	73.71
ABG.JO	6.55	7.36	21.4
NED.JO	5.88	9.13	23.17
FSR.JO	15.24	11.41	4.77
SBK.JO	6.91	9.91	15.63

Industry Average

Market Volatility during downturns requires investing in companies that have a higher than average Return on Invested Capital or ROIC. Further, Metrics such as PE ratio, basic EPS and Forward EPS is foundational for safety during times of economic turbulence.
CPI has outperformed relative to the commercial banking industry with respect to these operating metrics.

Metric	ROIC	PE RATIO	Basic EPS
Industry Average	11.564	12.972	27.736

Table 3 : Industry Average Metrics

Share Dilution

When a company chooses to dilute shares, there are no benefits accruing to the existing shareholders.
Importantly, it essentially means that ownership has weakened as a result, and voting rights do not hold the same weight prior to the dilution.
At the beginning of 2022, Capitec implemented an R1 Billion employee share scheme, wherein shares would be issued to 10000 employees, as a means to improve current BBBEE ownership status. Essentially, BBBEE ownership status would be increased to 25% satisfying the existing requirement.
Absa Group did not engage in significant share dilution over the last twelve trailing months.

Comparative Analysis: North America and Europe

It pays to gain a broader perspective, in terms of global performance. By using the largest asset holding banks, in both North America and Europe, JP Morgan Chase and Bank BNP Paribas, respectively, one can gain a complete understanding of CPI.JO performance.
Over the period 2020 -2022, CPI.JO clearly outperforms both banks, being the second largest bank in South Africa, in terms of Market Capitalisation.

Figure 5 : Stock Price Performance of South Africa, North America and Europe



Conclusion

According to the Financial Index (^J580.JO), the financial services industry has contracted significantly relative to the ^J200.JO. This, however, does not mean that there are no true value opportunities in the financial sector.
With respect to measures such as Forward EPS, Earnings Growth, Total Debt and beta, investing in a sector like the retail banking sector can position you for long-term value and capital gains.